

He was using Stochastics indicator for his trading. Whenever it reaches 20, he used to observe it. The moment it comes above 20, he used to take a long trade, and he used to book a loss if stochastics came back to 20 (stop-loss). Otherwise he used to hold the trade until stochastics reached 80.

Most beginners follow a similar technique (with stochastics or any other indicator), relying too much on indicators. I am not against indicators, but if a trader starts to observe the price chart, he will make better entry and exit with his trades.

The logic is simple. Stochastics reading drops from 80 to 20 rapidly. But it drops relatively slowly below 20, even when the price is falling more. Observe all the stocks in a deep downtrend; most of them show a stochastics reading of 20 or below. The same explanation goes for the oversold zone as well.

So, instead of taking entry just because stochastics came above 20, my friend can take a long trade when the price breaks the high of the last 5-min or 15-candle. It helps him avoid many losing trades, and hence it doesn't give a chance to averaging and revenge trading.

Similarly, instead of blindly exiting when the stochastic reaches 80, my friend can keep a trailing SL below the low of every 5-min or 15-min candle. It helps him to capture any big move (if it happens).

My explanation made sense to him (after all, he was the class topper), and he implemented it in his trading. Till today, he uses the same setup for his trading.

By any chance, do you have any doubt about whether your trading system is working or not?

If yes, do this activity:

- Login to your broker site, check yearly P&L reports (or at least 6 months)
- If the numbers are 'green', your trading system is working, if it is red, your system is not working

Why Bother to Identify Price Levels